

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 626

BY LOCAL GOVERNMENT COMMITTEE

AN ACT

RELATING TO DEVELOPMENT IMPACT FEES; AMENDING SECTION 67-8204, IDAHO CODE,
TO REVISE PROVISIONS REGARDING MINIMUM STANDARDS AND REQUIREMENTS FOR
DEVELOPMENT IMPACT FEES ORDINANCES AND TO MAKE TECHNICAL CORRECTIONS;
AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 67-8204, Idaho Code, be, and the same is hereby
amended to read as follows:

67-8204. MINIMUM STANDARDS AND REQUIREMENTS FOR DEVELOPMENT IMPACT
FEES ORDINANCES. Governmental entities ~~which~~ that comply with the require-
ments of this chapter may impose by ordinance development impact fees as a
condition of development approval on all developments.

(1) A development impact fee shall not exceed a proportionate share
of the cost of system improvements determined in accordance with section
67-8207, Idaho Code. Development impact fees shall be based on actual system
improvement costs or reasonable estimates of such costs.

(2) A development impact fee shall be calculated on the basis of levels
of service for public facilities adopted in the development impact fee ordi-
nance of the governmental entity that are applicable to existing development
as well as new growth and development. The construction, improvement, ex-
pansion, or enlargement of new or existing public facilities for which a de-
velopment impact fee is imposed ~~must~~ shall be attributable to the capacity
demands generated by the new development.

(3) A development impact fee ordinance shall specify the point in the
development process at which the development impact fee shall be collected.
The development impact fee ~~may~~ shall be collected no earlier than the com-
mencement of construction of the development, or the issuance of a building
permit or a manufactured home installation permit, or as may be agreed by the
developer and the governmental entity.

(4) A development impact fee ordinance shall be adopted in accordance
with the procedural requirements of section 67-8206, Idaho Code.

(5) A development impact fee ordinance shall include a process whereby
the governmental agency shall allow the developer, upon request by the de-
veloper, to provide a written individual assessment of the proportionate
share of development impact fees under the guidelines established by this
chapter, which shall be set forth in the ordinance. The individual assess-
ment process shall permit consideration of studies, data, and any other
relevant information submitted by the developer to adjust the amount of the
fee. The decision by the governmental agency on an application for an in-
dividual assessment shall include an explanation of the calculation of the
impact fee, including an explanation of factors considered ~~under~~ pursuant

1 to section 67-8207, Idaho Code, and shall specify the system ~~improvement(s)~~
2 improvements for which the impact fee is intended to be used.

3 (6) A development impact fee ordinance shall provide a process whereby
4 a developer shall receive, upon request, a written certification of the
5 development impact fee schedule or individual assessment for a particular
6 project, which shall establish the development impact fee ~~so~~ as long as there
7 is no material change to the particular project as identified in the individ-
8 ual assessment application, or the impact fee schedule. The certification
9 shall include an explanation of the calculation of the impact fee including
10 an explanation of factors considered under section 67-8207, Idaho Code. The
11 certification shall also specify the system ~~improvement(s)~~ improvements for
12 which the impact fee is intended to be used.

13 (7) A development impact fee ordinance shall include a provision for
14 credits in accordance with the requirements of section 67-8209, Idaho Code.

15 (8) A development impact fee ordinance shall include a provision pro-
16 hibiting the expenditure of development impact fees except in accordance
17 with the requirements of section 67-8210, Idaho Code.

18 (9) A development impact fee ordinance may provide for the imposition
19 of a development impact fee for system improvement costs incurred subsequent
20 to adoption of the ordinance to the extent that new growth and development
21 will be served by the system improvements.

22 (10) A development impact fee ordinance may exempt all or part of a par-
23 ticular development project from development impact fees provided that such
24 project is determined to create affordable housing, provided that the public
25 policy ~~which~~ that supports the exemption is contained in the governmental
26 entity's comprehensive plan and provided that the exempt development's pro-
27 portionate share of system improvements is funded through a revenue source
28 other than development impact fees.

29 (11) A development impact fee ordinance shall provide that development
30 impact fees shall ~~only~~ be spent only for the category of system improvements
31 for which the fees were collected and either within or for the benefit of the
32 service area in which the project is located.

33 (12) A development impact fee ordinance shall provide for a refund of
34 development impact fees in accordance with the requirements of section
35 67-8211, Idaho Code.

36 (13) A development impact fee ordinance shall establish ~~for~~ a procedure
37 for timely processing of applications for determination by the governmental
38 entity regarding development impact fees applicable to a project, individ-
39 ual assessment of development impact fees, credits or reimbursements to be
40 allowed or paid ~~under~~ pursuant to section 67-8209, Idaho Code, and extraor-
41 dinary impact.

42 (14) A development impact fee ordinance shall specify when an applica-
43 tion for an individual assessment of development impact fees shall be per-
44 mitted to be made by a developer or fee payer. An application for an individ-
45 ual assessment of development impact fees shall be permitted sufficiently in
46 advance of the time that the developer or fee payer may seek a building permit
47 or related permits so that the issuance of a building permit or related per-
48 mits will not be delayed.

1 (15) A development impact fee ordinance shall provide for appeals re-
 2 garding development impact fees in accordance with the requirements of sec-
 3 tion 67-8212, Idaho Code.

4 (16) A development impact fee ordinance ~~must~~ shall provide a detailed
 5 description of the methodology by which costs per service unit are deter-
 6 mined. The development impact fee per service unit ~~may~~ shall not exceed
 7 the amount determined by dividing the costs of the capital improvements
 8 described in section 67-8208(1)(f), Idaho Code, by the total number of pro-
 9 jected service units described in section 67-8208(1)(g), Idaho Code. If the
 10 number of new service units projected over a reasonable period of time is
 11 less than the total number of new service units shown by the approved land use
 12 assumptions at full development of the service area, the maximum impact fee
 13 per service unit shall be calculated by dividing the costs of the part of the
 14 capital improvements necessitated by and attributable to the projected new
 15 service units described in section 67-8208(1)(g), Idaho Code, by the total
 16 projected new service units described in that section.

17 (17) A development impact fee ordinance shall include a schedule of de-
 18 velopment impact fees for various land uses per unit of development. The or-
 19 dinance shall provide that a developer shall have the right to elect to pay a
 20 project's proportionate share of system improvement costs by payment of de-
 21 velopment impact fees according to the fee schedule as full and complete pay-
 22 ment of the development project's proportionate share of system improvement
 23 costs, except as provided in section 67-8214(3), Idaho Code.

24 (18) After payment of the development impact fees or execution of an
 25 agreement for payment of development impact fees, additional development
 26 impact fees or increases in fees ~~may~~ shall not be assessed unless the num-
 27 ber of service units increases or the scope or schedule of the development
 28 changes. In the event of an increase in the number of service units or sched-
 29 ule of the development changes, the additional development impact fees to
 30 be imposed ~~are~~ shall be limited to the amount attributable to the additional
 31 service units or change in scope of the development.

32 (19) No system for the calculation of development impact fees shall
 33 be adopted ~~which~~ that subjects any development to double payment of impact
 34 fees.

35 (20) A development impact fee ordinance shall exempt from development
 36 impact fees the following activities:

37 (a) Rebuilding the same amount of floor space of a structure ~~which~~ that
 38 was destroyed by fire or other catastrophe, ~~providing~~ provided that the
 39 structure is rebuilt and ready for occupancy within two (2) years of its
 40 destruction;

41 (b) Remodeling or repairing a structure ~~which~~ that does not increase
 42 the number of service units;

43 (c) Replacing a residential unit, including a manufactured home, with
 44 another residential unit on the same lot, provided that the number of
 45 service units does not increase;

46 (d) Placing a temporary construction trailer or office on a lot;

47 (e) Constructing an addition on a residential structure ~~which~~ that does
 48 not increase the number of service units; and

49 (f) Adding uses that are typically accessory to residential uses,
 50 such as tennis courts or ~~clubhouse~~ clubhouses, unless it can be clearly

demonstrated that the use creates a significant impact on the capacity of system improvements.

(21) A development impact fee ~~will~~ shall be assessed for installation of a modular building, manufactured home, or recreational vehicle unless the fee payer can demonstrate by documentation, such as utility bills and tax records, either:

(a) That a modular building, manufactured home, or recreational vehicle was legally in place on the lot or space prior to the effective date of the development impact fee ordinance; or

(b) That a development impact fee has been paid previously for the installation of a modular building, manufactured home, or recreational vehicle on that same lot or space.

(22) A development impact fee ordinance shall include a process for dealing with a project ~~which~~ that has extraordinary impacts.

(23) A development impact fee ordinance shall provide for the calculation of a development impact fee in accordance with generally accepted accounting principles. A development impact fee shall not be deemed invalid because payment of the fee may result in an incidental benefit to owners or developers within the service area other than the person paying the fee.

(24) A development impact fee ordinance shall include a description of acceptable levels of service for system improvements.

(25) A development impact fee ordinance adopted by a county that imposes a development impact fee for a county courthouse or a county jail shall require any cities within the county to collect such impact fee.

~~(25)~~ (26) Any provision of a development impact fee ordinance that is inconsistent with the requirements of this chapter shall be null and void and that provision shall have no legal effect. A partial invalidity of a development impact fee ordinance shall not affect the validity of the remaining portions of the ordinance that are consistent with the requirements of this chapter.

SECTION 2. An emergency existing therefor, which emergency is hereby declared to exist, this act shall be in full force and effect on and after July 1, 2026.